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PART II

Statutory Notifications (S.R.O.)

GOVERNMENT OF PAKISTAN

MINISTRY OF WATER AND POWER

NOTIFICATION

Islamabad, the 21st April, 2015

S.R.O. 354 (I)/2015.—In pursuance of sub-section (4) of section 31 of the Regulation of Generation, Transmission and Distribution of Electric Power Act, 1997 (XL of 1997) and in supersession of its Notification No. S.R.O 681(I)/2014, dated the 21st July, 2014 the Federal Government is pleased to notify the National Electric Power Regulatory Authority's approved reference tariff whereby the Foundation Power (Daharki) Limited (FPDCL) is allowed to charge the following approved Tariff for delivery of Electricity to Central Power Purchasing Agency (CPPA) of National Transmission and Dispatch Company limited for procurement on behalf of e-WAPDA distribution Companies:—

(1555)

REFERENCE TARIFF

Tariff Components	Years 1 to 10	Years 11 to 25	Indexation
Capacity Charge (Rs./kW/Hour)			
Fixed O&M			
- Local	0.0911	0.0911	WPI
- Foreign	0.0999	0.0999	US\$/PKR & US CPI
Insurance	0.0684	0.0684	US\$/PKR
Cost of working capital	0.0424	0.0424	KIBOR
Debt service-local	1.4575	-	KIBOR
Return on equity	0.4199	0.4199	US\$/PKR
Return on equity during construction	0.0770	0.0770	US\$/PKR
Total Capacity Charge	2.2562	0.7987	
Energy Charge Rs./kWh			
Fuel cost component	2.1806	2.1806	Mari gas price
Variable O&M			
- Local	0.0398	0.0398	WPI
- Foreign	0.2132	0.2132	US\$/PKR & US CPI

Note:

- (i) Capacity charge Rs./kwh is applicable to the dependable capacity at the delivery point.
- (ii) Dispatch criterion will be based on the energy charge.
- (iii) The above tariff is applicable for a period of 25 years commencing from the date of the commercial operations.
- (iv) Component wise tariff is indicated at Annex-I and Debt Servicing Schedule at Annex-II.
- (I) Adjustment in Insurance Component:

The actual insurance cost for the minimum cover required under contractual obligations with the Power Purchaser not exceeding 1.35% of the EPC cost will be treated as a pass through.

(II) Pass-Through Items:

- (i) No provision for income tax, workers profit participation fund and workers welfare fund, any other tax, excise duty or other duty, levy, charge, surcharge or other governmental impositions, payable on the generation, sales, exploration has been accounted for in the tariff. If FPCDL is obligated to pay any tax on the income purely generated from its operation *i.e.* Electricity Generation of power producer, the exact amount should be reimbursed by CPPA on production of original receipts. This payment will be considered as a pass-through (as Rs./kW/hour) hourly payment spread over a 12 months period in addition to the capacity purchase price in the reference tariff. Furthermore, in such a scenario, FPCDL, shall also submit to CPPA details of any tax shield savings and CPPA shall deduct the amount of these savings from its payment to FPCDL on account of taxation.
- (ii) Withholding tax on dividend is also a pass-through item just like other taxes as indicated in the government guidelines for determination of tariff for new IPPs. In a reference tariff table withholding tax number is indicated as reference and CPPA shall make payment on account of withholding tax at the time of actual payment of dividend subject to maximum of 7.5% of 15% of reference equity *i.e.* hourly payment (Rs./kW/hour) spread over a 12 months period.
- (iii) In case Company does not declare a dividend in a particular year or only declares a partial dividend, then the difference in the withholding tax amount (between what is paid in that year and the total entitlement as per the net return on equity) would be carried forward and accumulated so that the company is able to recover the same in hourly payments spread over 12 months period as a pass-through from the power purchaser in future on the basis of the total dividend payout.

(III) Indexations:

The following indexations shall be applicable to reference tariff.

(a) Indexations applicable to O&M:

The local component of fixed O & M part of capacity charge will be adjusted on account of local inflation (WPI) and foreign component on account of US CPI and dollar/rupee exchange rate. Quarterly adjustment for local inflation, foreign inflation and exchange rate variation will be made on 1st July, 1st October, 1st January and 1st April based on the latest available information with respect to WPI notified by the Federal Bureau of Statistics, US

CPI notified by the US Bureau of Labor Statistics and revised TT & OD selling rate of US dollar notified by the National Bank of Pakistan. The mode of indexation will be as under:

(I) Fixed O&M:

$$FO\&M_{(LREV)} = \text{Rs. } 0.0911 \text{ per kW per hour} * WPI_{(REV)} / 144.390$$

$$FO\&M_{(LREV)} = \text{Rs. } 0.0999 \text{ per kW per hour} * US\ CPI_{(REV)} / 215.969 * ER_{(REV)} / 83.30$$

Where:

$F\ O\&M_{(LREV)}$ = The revised applicable fixed O&M local component of the capacity charge indexed with WPI.

$F\ O\&M_{(FREV)}$ = The revised applicable fixed O&M foreign component of the capacity charge indexed with US CPI (all urban) and exchange rate variations.

$WPI_{(REV)}$ = The revised wholesale price index (manufacturers)

$WPI_{(REF)}$ = 144.390 wholesale price index (manufacturers) of February 2011 notified by the Federal Bureau of Statistics.

$US\ CPI_{(REV)}$ = The revised US CPI (all urban consumers).

$US\ CPI_{(REF)}$ = 215.969 US CPI (all urban consumers) for the month of February 2011 as notified by the US Bureau of Labor Statistics.

$ER_{(REV)}$ = The revised TT & OD selling rate of US dollar as notified by the National Bank of Pakistan.

$ER_{(REF)}$ = The reference exchange rate of Rs. 83.30 = 1 US\$.

(b) Variable O&M:

$$V\ O\&M_{(LREV)} = \text{Rs. } 0.0398 \text{ per kW per hour} * WPI_{(REV)} / 144.390$$

$$V\ O\&M_{(FREV)} = \text{Rs. } 0.2132 \text{ per kW per hour} * US\ CPI_{(REV)} / 215.969 * ER_{(REV)} / 83.30$$

Where;

$V\ O\&M_{(LREV)}$ = The revised applicable variable O&M local component of the energy charge indexed with WPI.

$V\ O\&M_{(FREV)}$ = The revised applicable variable O&M foreign component of the energy charge indexed with US CPI and exchange rate variation.

$WPI_{(REV)}$ = The revised wholesale price index (manufacturers).

$WPI_{(REF)}$ = 144.390 wholesale price index (manufacturers) of February 2011 notified by the Federal Bureau of Statistics.

$US\ CPI_{(REV)}$ = The revised US CPI (all urban consumers).

$US\ CPI_{(REF)}$ = 215.969 US CPI (all urban consumers) for the month of February 2011 as notified by the US Bureau of Labor Statistics.

$ER_{(REV)}$ = The revised TT & OD selling rate of US dollar as notified by the National Bank of Pakistan.

$ER_{(REF)}$ = The reference exchange rate of Rs. 83.30 = 1 US\$.

(b) Adjustment for KIBOR variation:

The interest part of fixed charge component will remain unchanged throughout the term except for the adjustment due to variations in interest rate as a result of variation in six monthly KIBOR according to the following formula:

$$\Delta I_{(L)} = P_{(LREV)} * (KIBOR_{(REV)} - 12.67\%) / 2$$

Where;

$\Delta I_{(L)}$ = The variation in interest charges applicable corresponding to variation in six-monthly KIBOR. $\Delta I_{(L)}$ can be positive or negative depending upon whether KIBOR_(REV) is > or < 12.67%. The interest payment obligation will be enhanced or reduced to the extent of $\Delta I_{(L)}$ for each period of six months under adjustment.

$P_{(LREV)}$ = The outstanding principal (as indicated in the attached debt service schedule to this order) on a six-monthly basis on the relevant calculation date. Period 1 shall commence on the date on which the 1st installment is due after availing the grace period.

Note:

Cost of working capital component of tariff will be adjusted on quarterly basis for any variation in quarterly KIBOR.

(c) Fuel Price Variation:

The variable charge part of the tariff relating to fuel cost will be adjusted on account of the fuel price variation as and when notified by the relevant authority, which in the instant case is the Oil & Gas Regulatory Authority (OGRA). In this regard, the variation in FPCDL's allowed rate relating to fuel cost shall be revised according to the following formula:

$$FC_{(Rev)} = FC_{(Adj.)} \text{ per Kwh. } * FP_{(Rev)} / FP_{(Ref)}$$

Where:

$FC_{(Rev)}$ = Revised fuel cost component of variable charge on Mari low Btu gas.

$FC_{(Ref)}$ = Reference fuel cost component of variable charge on Mari low Btu gas.

$FP_{(Rev)}$ = The new price of gas as notified by the relevant Authority per MMBTU.

$FP_{(Ref)}$ = The reference price of gas as notified by the relevant Authority per MMBTU of fuel adjusted for LHV-HHV factor.

(d) Adjustment of Return on Equity (ROE):

Return on equity component of the tariff will be quarterly adjusted on account of variation in PKR/US\$ parity according to the following formula;

$$ROE_{(Rev)} = \text{Rs. 0.4199 per kW per hour} * ER_{(Rev)} / ER_{(Ref)}$$

Where;

$ROE_{(Rev)}$ = Revised return on equity component in Rs./kW/h.

$ER_{(Rev)}$ = The revised TT & OD selling rate of US\$ as notified by the National Bank of Pakistan.

$ER_{(Ref)}$ = The reference exchange rates of Rs. 83.30 = 1 US\$.

(e) Adjustment of Return on Equity during Construction (ROEDC):

Return on equity during construction will be quarterly adjusted on account of variation in PKR/US\$ exchange rate according to the following formula;

$$ROEDC_{(Rev)} = \text{Rs. 0.0770 per kW per hour} * ER_{(Rev)} / ER_{(Ref)}$$

Where;

$ROEDC_{(Rev)}$ = Revised return on equity during construction

$ER_{(Rev)}$ = The revised TT & OD selling rate of US\$ as notified by the National Bank of Pakistan

$ER_{(Ref)}$ = The reference exchange rate of Rs. 83.30 = 1 US\$.

Adjustments on account of local inflation, foreign inflation, foreign exchange variation, KIBOR variation and fuel price will be approved and announced by the Authority for immediate application within seven working days after receipt of FPCDL's request for adjustment in accordance with the requisite indexation mechanism stipulated herein.

(IV) Terms and Conditions of Tariff:

- (i) Use of low BTU gas from Mari is allowed as single fuel for operation of the plant.
- (ii) All new equipment will be installed and the plant will be of standard configuration.
- (iii) General assumptions of FPCDL, which are not covered in this decision and earlier determination, may be dealt with in the PPA according to its standard terms.

**FOUNDATION POWER COMPANY DAHARKI LIMITED
TARIFF AT COD (GAS)**

Year	Variable Charge (PKR/kWh)				Capacity Charge (PKR/kW/Hour)									
	Fule	Variable O & M		Total	Fixed O & M		Insurance	Working Capital Component	Return on Equity	Return on Equity during Construction	Withholding Tax	Loan Repayment	Interest Charges	Total Capacity Charge
		Local	Foreign		Local	Foreign								
1.	2.1806	0.0398	0.2132	2.4337	0.0911	0.0999	0.0684	0.0424	0.4199	0.0770	0.0373	0.3363	1.1212	2.2935
2.	2.1806	0.0398	0.2132	2.4337	0.0911	0.0999	0.0684	0.0424	0.4199	0.0770	0.0373	0.3909	1.0666	2.2935
3.	2.1806	0.0398	0.2132	2.4337	0.0911	0.0999	0.0684	0.0424	0.4199	0.0770	0.0373	0.4544	1.0031	2.2935
4.	2.1806	0.0398	0.2132	2.4337	0.0911	0.0999	0.0684	0.0424	0.4199	0.0770	0.0373	0.5282	0.9293	2.2935
5.	2.1806	0.0398	0.2132	2.4337	0.0911	0.0999	0.0684	0.0424	0.4199	0.0770	0.0373	0.6140	0.8435	2.2935
6.	2.1806	0.0398	0.2132	2.4337	0.0911	0.0999	0.0684	0.0424	0.4199	0.0770	0.0373	0.7137	0.7438	2.2935
7.	2.1806	0.0398	0.2132	2.4337	0.0911	0.0999	0.0684	0.0424	0.4199	0.0770	0.0373	0.8296	0.6279	2.2935
8.	2.1806	0.0398	0.2132	2.4337	0.0911	0.0999	0.0684	0.0424	0.4199	0.0770	0.0373	0.9643	0.4932	2.2935
9.	2.1806	0.0398	0.2132	2.4337	0.0911	0.0999	0.0684	0.0424	0.4199	0.0770	0.0373	1.1209	0.3366	2.2935
10.	2.1806	0.0398	0.2132	2.4337	0.0911	0.0999	0.0684	0.0424	0.4199	0.0770	0.0373	1.3029	0.1546	2.2935
11.	2.1806	0.0398	0.2132	2.4337	0.0911	0.0999	0.0684	0.0424	0.4199	0.0770	0.0373	-	-	0.8360
12.	2.1806	0.0398	0.2132	2.4337	0.0911	0.0999	0.0684	0.0424	0.4199	0.0770	0.0373	-	-	0.8360
13.	2.1806	0.0398	0.2132	2.4337	0.0911	0.0999	0.0684	0.0424	0.4199	0.0770	0.0373	-	-	0.8360
14.	2.1806	0.0398	0.2132	2.4337	0.0911	0.0999	0.0684	0.0424	0.4199	0.0770	0.0373	-	-	0.8360
15.	2.1806	0.0398	0.2132	2.4337	0.0911	0.0999	0.0684	0.0424	0.4199	0.0770	0.0373	-	-	0.8360
16.	2.1806	0.0398	0.2132	2.4337	0.0911	0.0999	0.0684	0.0424	0.4199	0.0770	0.0373	-	-	0.8360
17.	2.1806	0.0398	0.2132	2.4337	0.0911	0.0999	0.0684	0.0424	0.4199	0.0770	0.0373	-	-	0.8360
18.	2.1806	0.0398	0.2132	2.4337	0.0911	0.0999	0.0684	0.0424	0.4199	0.0770	0.0373	-	-	0.8360
19.	2.1806	0.0398	0.2132	2.4337	0.0911	0.0999	0.0684	0.0424	0.4199	0.0770	0.0373	-	-	0.8360
20.	2.1806	0.0398	0.2132	2.4337	0.0911	0.0999	0.0684	0.0424	0.4199	0.0770	0.0373	-	-	0.8360
21.	2.1806	0.0398	0.2132	2.4337	0.0911	0.0999	0.0684	0.0424	0.4199	0.0770	0.0373	-	-	0.8360
22.	2.1806	0.0398	0.2132	2.4337	0.0911	0.0999	0.0684	0.0424	0.4199	0.0770	0.0373	-	-	0.8360
23.	2.1806	0.0398	0.2132	2.4337	0.0911	0.0999	0.0684	0.0424	0.4199	0.0770	0.0373	-	-	0.8360
24.	2.1806	0.0398	0.2132	2.4337	0.0911	0.0999	0.0684	0.0424	0.4199	0.0770	0.0373	-	-	0.8360
25.	2.1806	0.0398	0.2132	2.4337	0.0911	0.0999	0.0684	0.0424	0.4199	0.0770	0.0373	-	-	0.8360
Levelized Tariff (1 - 25 Years)				2.4337	0.0911	0.0999	0.0684	0.0424	0.4199	0.0770	0.0373	0.4372	0.5495	1.8226

Net Capacity	180.097	MW
Reference Exchange Rate (PKR/US\$)	83.30	
Reference Fuel Price (Gas) LHV	293.3576	
Reference US CPI	215.9690	
Reference WPI (manufacturers)	144.3900	
KIBOR	12.67%	
Net Efficiency	48.84%	
Levelized Tariff (at 60% plant factor) Rs. Per kWh	5.4714	(US Cents/k 6.5683)

FOUNDATION POWER COMPANY DAHARKI LIMITED DEBT SERVICING SCHEDULE

6 Months KIBOR 12.6700%
Spread 2.9580%
Effective Interest Rate 15.63%

Period	Principal			Mark Up	Debt Service	Annual Principal Repayment	Annual Markup	Principal Repayment	Mark Up	Debit Service
	Opening Balance	Repayment	Closing Balance							
	Rs. In Million									
1.	11,446.0555	255.3216	11,190.7339	894.3948	1,149.7164	530.5940	1,768.8387	0.3363	1.1212	1.4575
2.	11,190.7339	275.2724	10,915.4615	874.4439	1,149.7164					
3.	10,915.4615	296.7822	10,618.6793	852.9342	1,149.7164	616.7550	1,682.6778	0.3909	1.0666	1.4575
4.	10,618.6793	319.9728	10,298.7065	829.7436	1,149.7164					
5.	10,298.7065	344.9754	9,953.7311	804.7409	1,149.7164	716.9072	1,582.5255	0.4544	1.0031	1.4575
6.	9,953.7311	371.9318	9,581.7993	777.7845	1,149.7164					
7.	9,581.7993	100.9946	9,180.8047	748.7218	1,149.7164	833.3228	1,466.1099	0.5282	0.9293	1.4575
8.	9,180.8047	432.3283	8,748.4764	717.3881	1,149.7164					
9.	8,748.4764	466.1104	8,282.3660	683.6059	1,149.7164	968.6427	1,330.7900	0.6140	0.8435	1.4575
10.	8,282.3660	502.5323	7,779.8337	647.1841	1,149.7164					
11.	7,779.8337	541.8001	7,238.0336	607.9162	1,149.7164	1,125.9366	1,173.4962	0.7137	0.7438	1.4575
12.	7,238.0336	584.1364	6,653.8972	565.5799	1,149.7164					
13.	6,653.8972	629.7808	6,024.1164	519.9355	1,149.7164	1,308.7727	990.6600	0.8296	0.6279	1.4575
14.	6,024.1164	678.9919	5,345.1245	470.7245	1,149.7164					
15.	5,345.1245	732.0483	4,613.0761	417.6680	1,149.7164	1,521.2989	778.1338	0.9643	0.4932	1.4575
16.	4,613.0761	789.2506	3,823.8255	360.4658	1,149.7164					
17.	3,823.8255	850.9226	2,972.9029	298.7937	1,149.7164	1,768.3364	531.0964	1.1209	0.3366	1.4575
18.	2,972.9029	917.4137	2,055.4892	232.3026	1,149.7164					
19.	2,055.4892	989.1004	1,066.3887	160.6159	1,149.7164	2,055.4892	243.9435	1.3029	0.1546	1.4575
20.	1,066.3887	1,066.3887	(0.0000)	83.3276	1,149.7164					

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SYED MATEEN AHMED
Section Officer (Tariff).

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